



The \$tôkEx Algorithm

A continuous exchange mechanism between two fungible assets

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Defensive publication notice

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AI contribution statement

This document was prepared with the assistance of Milu, an AI agent (built on Anthropic’s Claude models) integrated into the Smoothop project; Milu’s own identity and protocol are public, at <https://github.com/MaximeTousignant/miluRepo> (tag `stokex-defpub-2026-07`). Milu contributed to the mathematical formalization, to the machine-checked proofs (Lean 4 / mathlib) and numerical verification of the claims herein, and to the drafting of the text, under the direction and review of the human author, who is solely responsible for its content.

Name and pronunciation

The name \$tôkEx juxtaposes the two currencies of the exchange (the dollar and the tôk), followed by “Ex” for exchange. It is pronounced [stôkɛks]: the dollar sign is read as an “S”.

Abstract

The \$tôkEx is an algorithm for the continuous exchange of two fungible assets A and B. It works without an order book, without counterparty matching, without liquidity pools and without fees. It aims at a market that is fair, transparent, and accessible.

The \$tôkEx asks each participant two simple questions up front: how much do they think one asset is worth relative to the other, and how confident are they in that estimate? From those answers, the \$tôkEx extracts two parameters for each participant identified by an index i : their estimate $[\alpha/\beta]_i$ of the relative value of assets A and B, and their degree of confidence θ_i , between 0 and 100%, in that estimate. Every participant

thereby deploys their own personal trading robot with one standing order: buy low and sell high, at every instant.

The trading robot working for participant i continuously outputs two exchange (buy/sell) velocities, one for asset A and one for asset B, that are coherent with its participant's standing order and with global market rules. The degree of confidence θ_i is mapped onto a weight $w(\theta_i) = \frac{1}{3} \tan(\pi \theta_i / 200\%)$; geometrically, θ_i is the angle of the participant's response curve at its equilibrium point. Every trading robot exchanges continuously at velocities $\dot{X}_i^\alpha$ and $\dot{X}_i^\beta$ proportional to its weight and to a common trader function $f(x_i) = x_i^2 - 1/x_i$, where x_i is the ratio between the market price and its participant's estimate.

The \$tokEx treats both assets A and B symmetrically and all exchanges occur exactly at the market price. The market price is the unique positive price that simultaneously clears both assets; it has the closed form given in Eq. (12).

From an outsider's perspective, the whole market is provably indistinguishable from a single participant with an aggregate estimate (equal to the market price) and an aggregate degree of confidence. The state of the market is piecewise constant between events and is advanced exactly, event by event, by the two algorithms given below, with incremental $O(N \log N)$ updates. Mathematical proofs are provided in the annexes.

Keywords: stokenx, automated market maker (AMM), decentralized exchange, logarithmic market scoring rule (LMSR), order book, continuous trading, prediction market, tok system, time-weighted execution (TWAP).

Relation to known mechanisms

The \$tokEx is an automated exchange mechanism, but it differs from the known families of market designs.

Unlike the continuous double auction (the order book of stock and cryptocurrency exchanges), the \$tokEx involves no orders, no bids or asks, and no counterparty matching.

Unlike automated market makers (AMM) of decentralized exchanges — in particular constant-function market makers (CFMMs), such as Uniswap's constant-product pools [4] and their generalizations [5] — the \$tokEx holds no liquidity pool and derives no price from reserves.

Unlike scoring-rule market makers, such as Hanson's logarithmic market scoring rule (LMSR) for prediction markets [2] and the convex-cost-function market makers that generalize it [3], the \$tokEx requires no subsidizing party to commit capital against a bounded worst-case loss. Nothing prevents an ordinary participant from unilaterally anchoring the price near their own estimate by declaring a very high degree of confidence, but the role is not a privileged one: any participant may take it on, their resulting exposure is bounded by their own account balance rather than by a worst-case loss fixed in advance for the whole market by a designer, and the algorithm itself enforces solvency as that balance is spent. Moreover, the \$tokEx elicits a participant's belief directly, as a declared estimate and degree of confidence, rather than inferring it from trades against an accumulated position.

The \$tokEx computes the market price in closed form from the participants' declared estimates and degrees of confidence, and the participants' robots trade with each other, continuously, exactly at that price. The continuous execution spreads each transaction over time, as time-weighted average price (TWAP) execution strategies do on traditional markets, but here the property belongs to the market itself: supply and demand clear exactly at every instant.

1 Notation

t_0	Reference time
t	Time of interest
α	Symbol for one unit of asset A
β	Symbol for one unit of asset B
n^α	Amount in an account holding asset A (in α)
n^β	Amount in an account holding asset B (in β)
$[\alpha/\beta]$	Estimate of the value of 1 β priced in α
$[\beta/\alpha]$	Estimate of the value of 1 α priced in β (note: $[\beta/\alpha] = 1/[\alpha/\beta]$)
θ, Θ	Degree of confidence in an estimate
w, W	Weight of an estimate
$\dot{X}^\alpha$	Exchange velocity of asset A (in α / unit of time); if A is an asset with no intrinsic dynamic then $\dot{X}^\alpha = dn^\alpha/dt$
$\dot{X}^\beta$	Exchange velocity of asset B (in β / unit of time); if B is an asset with no intrinsic dynamic then $\dot{X}^\beta = dn^\beta/dt$
$\square_i$	Placeholder for a quantity related to participant i (e.g. n_i^α , $[\alpha/\beta]_i$, θ_i , $\dot{X}_i^\alpha$, etc.)
$\square_\Omega$	Placeholder for the corresponding market-level quantity (e.g. n_Ω^α , $[\alpha/\beta]_\Omega$, W_Ω , $\dot{X}_\Omega^\alpha$, etc.)
P_i^α	Total profit of participant i since a reference time (priced in α)
P_i^β	Total profit of participant i since a reference time (priced in β)
x_i	Ratio between the market price and participant i 's estimate
$f(x)$	Trader function

A note on assets and their units: A and B name the two *assets* being exchanged, while α and β name one *unit* of each — the yardstick in which balances, velocities and prices are counted. For instance, asset A could be gold, the metal, and then α is one gram of it; or asset A could be the Canadian economy, and then α is one Canadian dollar. Likewise asset B could be the company Google, and then β is one share, that is the fraction $1/N_{\text{Google}}$ of the company, where N_{Google} is the number of shares outstanding. Throughout, n^α and n^β are amounts of these units, and a price such as $[\alpha/\beta]$ is a number of α per β .

A note on the index i : it tags a participant, the way a UUID does in the reference implementation (Sec. 4.4). It identifies each participant, it does not order them. “Participant i ” is therefore read as “the participant tagged i ”, not as “the i -th participant”.

A note on the overdot: in this document it marks a velocity, an amount per unit of time (e.g. $\dot{X}^\alpha$, $\dot{X}^\beta$, $\dot{R}$), constant between two events of the market. It is not the derivative of a state variable. Actual time derivatives are written explicitly, as in dn_i/dt .

2 Principles of the \$tôkEx Algorithm

The purpose of the algorithm is to set up a market between different participants in which two fungible assets, A and B, can be **continuously** exchanged according to each participant’s estimate of the relative value of the two assets.

The goals that guide this market’s design are fairness, transparency, and accessibility. The \$tôkEx achieves accessibility by changing the question it asks a participant. A traditional market asks *how much do you want to buy or sell, now?* — a question whose correct answer moves with every tick; the \$tôkEx asks instead *what do you think the two assets are worth relative to each other, and how sure are you?* — a standing judgment that the mechanism then trades on continuously, buying more when the market is cheap relative to the estimate and selling more when it is dear. In effect, that standing judgment instantiates the participant’s own personal trading robot, which trades on their behalf without further attention.

Accessibility also constrains the mechanism from the other side. A market that means to be accessible should ideally charge no fees; but a mechanism that collects no fees earns nothing to spend on running itself, so it cannot pass its computational cost on to anyone and must instead keep that cost as low as possible. This

budget shapes the construction that follows: the state of the market is advanced exactly, event by event, in $O(N \log N)$ time, and wherever the form of a function is left free, the cheapest to evaluate is preferred — one reason the trader function is taken at $p = 2$, $f(x) = x^2 - 1/x$, which is built from integer powers alone and calls no transcendental function (Annex 7.1).

Wallets. Each participant holds a *wallet*: one account per asset, with balances n_i^α and n_i^β . Individual balances evolve continuously through the exchanges of the \$tôkEx (and through the participant’s own deposits and withdrawals), but the exchange only moves amounts between wallets: deposits and withdrawals apart, the *sums* $\sum_i n_i^\alpha$ and $\sum_i n_i^\beta$ are constant. Throughout this document, the assets are assumed to have no dynamics of their own; this assumption can be relaxed under certain conditions, such as the continuous disintegration (sometimes called demurrage) of the tôk in the reference implementation (Sec. 4.4), without touching the exchange itself.

The algorithm obeys eight fundamental principles, which fall into two classes. The *fair-market principles* (1–4) constrain the market itself, and the *rational-trader principles* (5–8) specify the behavior of the participants — a behavior implemented for all participants by the same function, called the *trader function*.

Fair-market principles (the market is unbiased):

1. *Equilibrium and conservation.* The market price $[\alpha/\beta]_\Omega$ is the price at which supply meets demand: at any given time, whatever amount of an asset some participants sell must be bought by others, and vice versa,

$$\sum_i \dot{X}_i^\alpha = \sum_i \dot{X}_i^\beta = 0.$$

Since $\dot{X}_i$ is precisely the contribution of the exchange to the balance n_i , the same equation is a conservation law: the exchange creates and destroys nothing, it only transfers existing amounts between the participants' wallets.

2. *Exchange at market price.* At any given time there is a single market price, strictly positive and common to all participants, and every exchange takes place exactly at it:

$$[\alpha/\beta]_\Omega = -\frac{\dot{X}_i^\alpha}{\dot{X}_i^\beta} > 0 \quad \text{for every trading participant } i.$$

The minus sign records that $\dot{X}_i^\alpha$ and $\dot{X}_i^\beta$ always carry opposite signs — one asset comes in as the other goes out — and they vanish together only at the participant's own estimate, where there is no trade.

3. *No bias between participants.* All exchange velocities are given by one common function of the participant's own inputs and of the market price, the same function for every participant:

$$\dot{X}_i^\alpha = F([\alpha/\beta]_i, \theta_i; [\alpha/\beta]_\Omega) \quad \text{for all } i.$$

4. *No bias between assets.* The defining equations are invariant under swapping the two assets:

$$\alpha \leftrightarrow \beta \quad (\text{hence } [\alpha/\beta] \leftrightarrow [\beta/\alpha]).$$

Rational-trader principles (every participant trades rationally). Let $x_i := [\alpha/\beta]_\Omega / [\alpha/\beta]_i$ denote the ratio between the market price and participant i 's estimate:

5. *Buy low.* When the market prices an asset below the participant's estimate, the participant is willing to buy that asset:

$$x_i < 1 \implies \dot{X}_i^\beta > 0 \quad (\text{and } \dot{X}_i^\alpha < 0).$$

6. *Sell high.* When the market prices it above the estimate, the participant is willing to sell it:

$$x_i > 1 \implies \dot{X}_i^\beta < 0 \quad (\text{and } \dot{X}_i^\alpha > 0).$$

At the estimate, they do not trade:

$$x_i = 1 \implies \dot{X}_i^\alpha = \dot{X}_i^\beta = 0.$$

7. *Urgency grows with the gap.* The exchange velocity increases strictly with the distance between market price and estimate:

$$\dot{X}_i^\alpha \text{ is strictly increasing in } x_i \quad (\text{and } \dot{X}_i^\beta \text{ strictly decreasing}),$$

so that $|\dot{X}_i^\alpha|$ and $|\dot{X}_i^\beta|$ grow as x_i moves away from 1 in either direction.

8. *Urgency grows with confidence.* A participant's exchange velocities scale with a weight w_i that increases strictly with their degree of confidence θ_i :

$$\dot{X}_i \propto w_i = w(\theta_i), \quad w \text{ strictly increasing in } \theta_i.$$

No conviction, no trade: $w(0) = 0$.

These eight principles are the *hypotheses* of the \$t\sigma kEx: everything that follows is constructed to satisfy them. The trader function (2) realizes principles 5–8, the symmetric velocity pair (1) realizes principles 2–4, and the market price (12) realizes principle 1.

3 Core Equations of the \$tôkEx Algorithm

Exchanges on the \$tôkEx are continuous, instead of discrete in time like on traditional markets. For example, rather than buying 5 units of β in exchange for 10 units of α at some instant t on a traditional market (which implies a market price of 2α per β), the same exchange on the \$tôkEx could happen by continuously buying units of β (at the market price of 2α per β) with a velocity of 1β per hour for 5 hours.

On the participant level, the advantage of a continuous exchange is that, by spreading their transaction over a longer period of time, they reduce the risk of making their transaction at a bad time. As we will show, the \$tôkEx allows the participant to automatically either buy or sell more (i.e. at a higher velocity) when the market price is more advantageous for them.

At the market level, the advantage of a continuous exchange is that the market price would be more stable since every participant is automatically reacting to any change in the market price by increasing or decreasing their exchange velocities.

3.1 The personal trading robot

Everything in this subsection is written from the point of view of a single participant, taking the market price $[\alpha/\beta]_\Omega$ as a given input. We give the two exchange velocities the participant's robot outputs, the profit it accumulates over time, the moment it empties an account, and a worked example on real data. The market price it reacts to is itself constructed, from the aggregate of all participants' robots, in Sec. 3.2.

3.1.1 Exchange velocities

Every participant in the \$tôkEx has their exchange velocities — the output of their personal trading robot (Fig. 1) — determined by the same function. In that sense, the \$tôkEx is not biased towards a participant or another and therefore fulfills principle number 3 mentioned earlier.

This function requires two inputs from the participant:

- $[\alpha/\beta]_i$ participant i 's estimate of the value of 1 unit of β priced in α
- θ_i participant i 's degree of confidence ($[0, 100)$ %) in their estimate of the relative value of the two assets.

The function controlling the participant's exchange velocities in the \$tôkEx takes the following form:

$$\begin{aligned} \dot{X}_i^\alpha &= w(\theta_i) f\left(\frac{[\alpha/\beta]_\Omega}{[\alpha/\beta]_i}\right) \dot{R}, \\ \dot{X}_i^\beta &= w(\theta_i) f\left(\frac{[\beta/\alpha]_\Omega}{[\beta/\alpha]_i}\right) \dot{R} [\beta/\alpha]_i, \end{aligned} \quad (1)$$

where $\dot{R}$ is the reference exchange velocity (in α / unit of time) for this particular exchange. The algorithm requires that a reference exchange velocity, constant and common to all participants, be defined for one of the two assets. For example, in a market where gold is exchanged for dollars, the reference exchange velocity could be set to 1 dollar per hour or 1 ounce of gold per day or whatever reference velocity makes sense in the context of that particular market.

By convention, the reference exchange velocity $\dot{R}$ is defined in terms of asset A. The corresponding reference exchange velocity for asset B is $\dot{R} [\beta/\alpha]_i$ in the eyes of participant i . Apart from this difference, the two equations in (1) are perfectly symmetric in the sense that they are the same except that α is swapped with β . This property ensures that the market is not biased towards one asset or the other. Therefore, the form of the function controlling a participant's exchange velocities satisfies principle number 4.

Next, we need to specify the functions w and f that compose the exchange velocities function. Let us first define the *trader function* f . This function describes the general behavior of a participant depending on the ratio between the market price $[\alpha/\beta]_\Omega$ and their estimate of the value of $[\alpha/\beta]$. This general behavior follows

principles number 5, 6 and 7. The \$t\text{\kern-0.08em}k\text{\kern-0.08em}Ex\$ satisfies these principles by defining the trader function, for any price ratio $x > 0$, as

$$f(x) = x^2 - \frac{1}{x}. \quad (2)$$

This choice is principled but not arbitrary. As shown in Annex 7.1, principles 2 and 4 by themselves force two structural properties of any admissible trader function: the functional equation $f(1/x) = -f(x)/x$, and hence $f(1) = 0$ (no trade at one's own estimate). The functions compatible with all eight principles and with a closed-form market price form a one-parameter family, of which (2) is the minimal member with unbounded urgency on both the buying and the selling side; the whole family is described in Annex 7.1 and is part of the present disclosure.

Each participant evaluates it at the ratio between the market price and their own estimate:

$$\begin{aligned} f_i^\alpha &:= f\left(\frac{[\alpha/\beta]_\Omega}{[\alpha/\beta]_i}\right) = \left(\frac{[\alpha/\beta]_\Omega}{[\alpha/\beta]_i}\right)^2 - \frac{[\alpha/\beta]_i}{[\alpha/\beta]_\Omega}, \\ f_i^\beta &:= f\left(\frac{[\beta/\alpha]_\Omega}{[\beta/\alpha]_i}\right) = \left(\frac{[\beta/\alpha]_\Omega}{[\beta/\alpha]_i}\right)^2 - \frac{[\beta/\alpha]_i}{[\beta/\alpha]_\Omega}. \end{aligned} \quad (3)$$

Second, we define the function w that serves as a weighting factor for each participant in the \$t\text{\kern-0.08em}k\text{\kern-0.08em}Ex\$. It maps a participant's degree of confidence $[0, 100]\%$ onto $[0, +\infty)$, such that

$$w_i := w(\theta_i) = \frac{1}{3} \tan\left(\frac{\pi \theta_i}{200\%}\right). \quad (4)$$

The function w is consistent with principle number 8 since it scales the participant's exchange velocities according to their degree of confidence (we show in Annex 7.3 that θ_i can be interpreted as a geometrical angle in the right context). This tangent map is a design choice, not a requirement: principle 8 only asks for a strictly increasing w with $w(0) = 0$, and Annex 7.2 shows that every result in this document holds unchanged for any such function.

Thus, the exact expressions for the exchange velocities of participant i are

$$\begin{aligned} \dot{X}_i^\alpha &= w_i \left(\left(\frac{[\alpha/\beta]_\Omega}{[\alpha/\beta]_i} \right)^2 - \frac{[\alpha/\beta]_i}{[\alpha/\beta]_\Omega} \right) \dot{R}, \\ \dot{X}_i^\beta &= w_i \left(\left(\frac{[\beta/\alpha]_\Omega}{[\beta/\alpha]_i} \right)^2 - \frac{[\beta/\alpha]_i}{[\beta/\alpha]_\Omega} \right) \dot{R} [\beta/\alpha]_i. \end{aligned} \quad (5)$$

In Fig. 2, we can see that, expressed in the same units of $\dot{R}$, the two curves are mirror images of one another (unbiased toward one asset or the other) and that they allow each participant to automatically “buy low and sell high” according to their estimate of the relative value of assets A and B.

In Annex 7.4, we prove that the expressions in (5) are consistent with principle number 2, which states that every participant buys and sells at market price. Formally, this means that

$$[\alpha/\beta]_\Omega = -\frac{\dot{X}_i^\alpha}{\dot{X}_i^\beta}. \quad (6)$$

Indeed, if a participant is buying asset A and paying with asset B, the two exchange velocities must be of opposite sign and the proportionality constant between the two is the market price. In Sec. 3.2, we will determine the expression to compute the market price $[\alpha/\beta]_\Omega$.

3.1.2 Participant's profit over a given time period

Relative to an arbitrary reference time t_0 (e.g. when the participant joined the market, or any other point of interest), participant i 's profit since t_0 is obtained by marking the change in *both* balances to market at

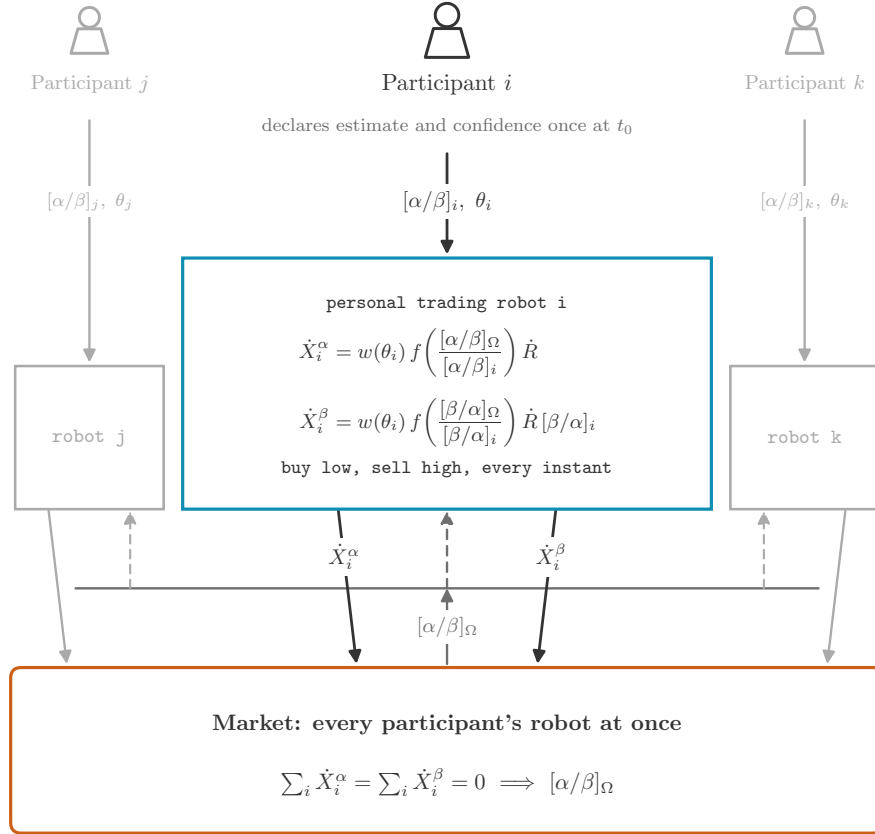


Figure 1: General schema of a participant's personal trading robot: it takes the participant's own inputs and the current market price, and outputs the two exchange velocities. The single market price it reacts to emerges from the aggregate of every participant's robot at once and feeds back into each of them continuously. The same construction runs independently for every participant $i = 1, \dots, N$; three are shown here.

today's price, in either asset:

$$P_i^\alpha(t) = (n_i^\alpha(t) - n_i^\alpha(t_0)) + (n_i^\beta(t) - n_i^\beta(t_0)) [\alpha/\beta]_\Omega(t), \quad (7)$$

$$P_i^\beta(t) = (n_i^\beta(t) - n_i^\beta(t_0)) + (n_i^\alpha(t) - n_i^\alpha(t_0)) [\beta/\alpha]_\Omega(t). \quad (8)$$

By construction $P_i^\alpha(t_0) = 0$ and $P_i^\beta(t_0) = 0$: there is no profit relative to itself. Using $[\beta/\alpha]_\Omega = 1/[\alpha/\beta]_\Omega$, the two quantities satisfy

$$P_i^\alpha(t) = P_i^\beta(t) [\alpha/\beta]_\Omega(t). \quad (9)$$

Profit is therefore never independent of the asset it is quoted in: it is not that one of P_i^α and P_i^β is “the” profit and the other a unit conversion of it, but that both are equally valid, related exactly by the market price of the moment. Because that price is always strictly positive (principle 2), $P_i^\alpha(t)$ and $P_i^\beta(t)$ always agree in sign — a participant cannot be ahead in one asset and behind in the other — but they generally disagree in magnitude, by exactly the factor $[\alpha/\beta]_\Omega(t)$. This is the StokEx's asset symmetry (principle 4) carried into the derived notion of profit: no asset is privileged as the numeraire in which profit must be reported.

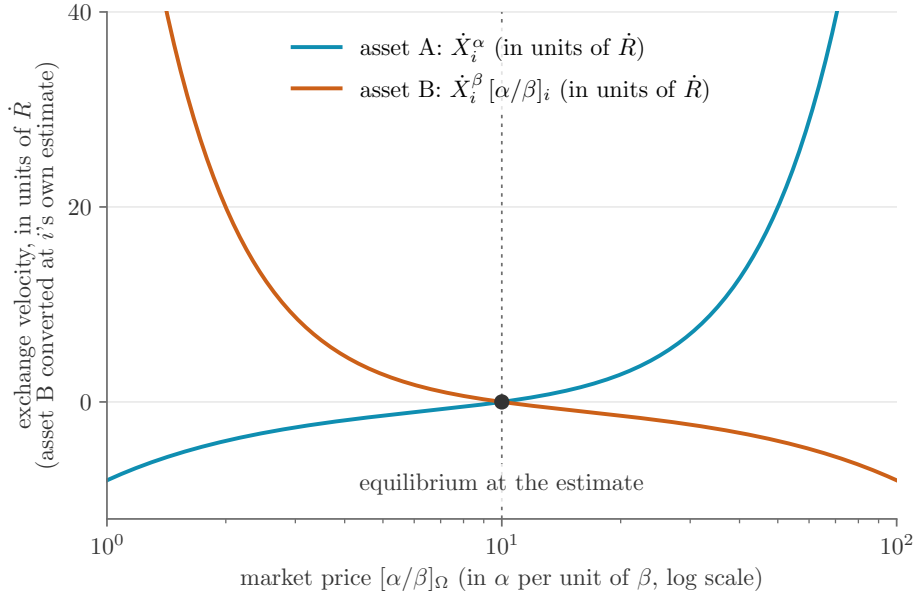


Figure 2: participant i 's exchange velocities for an estimate of $[\alpha/\beta]_i = 10$ α per β with a degree of confidence $\theta_i = 75\%$. To compare both exchange velocities on a single axis, asset B's velocity is converted to its α -equivalent using the participant's own estimate, $\dot{X}_i^\beta [\alpha/\beta]_i$ — the fair conversion factor according to participant i , not the (generally different) market price $[\alpha/\beta]_\Omega$.

3.1.3 Numerical illustration: a currency pair (CAD/EUR)

Before the formulas, a story. Alice holds dual Canadian and French citizenship, and she keeps two bank accounts: one in Canadian dollars (CAD), one in euros (EUR). Her life moves back and forth between the two countries, and so does her need for cash. Some months she is living in Lyon and suddenly needs euros; other months she is in Montreal and suddenly needs Canadian dollars. Most of the time, though, Alice is in no rush at all.

What Alice would like is easy to say and tedious to do by hand: when the Canadian dollar is cheap, she would like to buy it with her euros — which is the very same thing as selling her euros while they are dear; and when the euro is cheap, she would like to buy it with her Canadian dollars — selling her Canadian dollars while they are dear. In one phrase, Alice wants to *buy low and sell high*, continuously, without watching the exchange rate all day.

This is exactly what the \$tôkEx does for her. Alice never has to place an order, pick a moment, or follow the market. She turns to the \$tôkEx, and it asks her just two questions (Fig. 3): what does she think one currency is worth in terms of the other, and how sure is she of that number? From those two answers — an estimate and a degree of confidence — the \$tôkEx sets up her personal trading robot, which then trades gently and continuously on her behalf, leaning into whichever currency the market is offering cheaply at each instant. The rest of this section works out precisely what that robot would have done, over five years of real exchange-rate data.

There is one thing, though, that the \$tôkEx still needs and that Alice's two answers do not settle: how *fast* her robot should trade overall — the reference pace $\dot{R}$. In the tôk system this pace has a natural value, the system's own universal-income rate (Sec. 4.4). Between two ordinary floating currencies there is no such anchor, and the reason is worth stating plainly: money is not a stable unit of value. The purchasing power of a Canadian dollar drifts downward over time, $d\text{CAD}/dt < 0$, and so does that of a euro, each at its own shifting and unannounced rate, so neither provides a fixed clock against which a natural pace could be defined. For Alice we therefore simply pick one, and, as the next paragraphs make precise, that choice only rescales the amounts she trades, never the shape of what her robot does.

[FIGURE À VENIR — capture d’écran du \$tôkEx dans l’implémentation de référence (système des tôk), montrant les deux questions posées au participant (estimation et degré de confiance), avec une monnaie étrangère fictive, le TIK. Placeholder pour l’instant — remplacer par l’image avant soumission.]

Figure 3: The two questions the \$tôkEx asks a participant, shown in the reference implementation of the tôk system: an estimate of the relative value of the two assets, and a degree of confidence in it. Here the tôk is paired against a fictional foreign currency, the TIK.

To make $\dot{R}$ tangible, take a round case — distinct from the $\theta_i = 60\%$ Alice actually declares below, chosen only because the arithmetic comes out clean. Suppose a degree of confidence of exactly one half, $\theta_i = 50\%$; the weight is then $w = \frac{1}{3} \tan(\pi/4) = \frac{1}{3}$, and the robot’s Canadian-dollar velocity is $\dot{X}^{\text{CAD}} = \frac{1}{3} f(x) \dot{R}$, with x the market rate divided by her estimate. Two mirror snapshots fix the scale. If the market ever valued the euro at *twice* Alice’s estimate ($x = 2$), the euro would be dear and her robot would sell euros, taking in Canadian dollars at $\frac{1}{3} f(2) \dot{R} = \frac{7}{6} \dot{R} \approx 1.17 \dot{R}$. If the market valued it at *half* ($x = \frac{1}{2}$), the euro would be cheap and her robot would buy euros, paying out Canadian dollars at $\frac{1}{3} |f(\frac{1}{2})| \dot{R} = \frac{7}{12} \dot{R} \approx 0.58 \dot{R}$. So $\dot{R}$ is simply the pace of that flow: with the placeholder $\dot{R} = 1$ CAD/day used below, a market off by a factor of two moves on the order of one Canadian dollar through Alice’s accounts per day, and doubling $\dot{R}$ would double every such amount. (The two Canadian-dollar figures differ only because both are read in the same currency; measured each in its own, buying and selling mirror one another exactly — the symmetry of Fig. 2.)

To ground Fig. 2 in a concrete case, we apply the exchange velocities to a real time series. To be precise about what this does and does not test: it exercises a single participant’s personal trading robot, i.e. the exchange-velocity function of Eq. (5) alone, given a real price series taken as an exogenous input — not the \$tôkEx algorithm as a whole. The market price itself, its equilibrium and uniqueness (Sec. 3.2, Annex 7.6), and the aggregation of many participants into one (Sec. 5.1, Annex 7.7) are not exercised here: a real market running the \$tôkEx would need other participants, whose combined robots are what actually sets the price this one robot reacts to. The reference implementation of the \$tôkEx (Sec. 4.4) exchanges the tôk against a foreign currency, so we illustrate this one instance on an actual currency pair, CAD against EUR, computed as the cross rate of two FRED series, DEXCAUS [6] (CAD per USD) and DEXUSEU [7] (USD per EUR). Two developed, floating currencies exchanging against each other is a far more stationary process than an equity index, with no comparable secular trend to extrapolate; a linear trend fit on this pair over five years explains very little of its variation ($R^2 \approx 0.17$, against commonly above 0.8 for a rising stock index), so imposing one would not be a reasonable forecast. Instead, the declared estimate is the plain average exchange rate over the five years *preceding* the test window, 2016-07-18 to 2021-07-16 — still computed only from data that predates the test window, and still an honest out-of-sample estimate, just without assuming a trend the data does not support. This gives a declared estimate of ≈ 1.497 CAD per EUR, with a declared degree of confidence $\theta_i = 60\%$ (hence $w_i \approx 0.459$), against a realized average over the five-year validation window that follows, 2021-07-19 to 2026-07-17 (1250 trading days), of ≈ 1.486 — a close, but not exact, match, again exactly as a real estimate would be. We then treat the real exchange rate over the validation window as the exogenous market price that this one robot reacts to, exactly as principle 2 requires of every participant regardless of what the others are doing.

Consider a participant who starts with 1000 CAD and 1000 EUR — round, native amounts in each currency, with no conversion needed between them, since here *both* assets are money. Money in each currency is kept in its own native unit throughout, rather than converted into a common yardstick: this is the \$tôkEx’s own asset symmetry (principle 4) carried into the example, and it is why the second panel of Fig. 4 uses two separate axes, color-coded blue for CAD and orange for EUR. One choice remains free: the reference exchange velocity $\dot{R}$, whose unit is left to the implementer (Sec. 4.4 ties it, in the reference implementation, to the tôk system’s own universal income rate). No such external anchor exists for this illustrative retail portfolio, so we set $\dot{R} = 1$ CAD/day, an arbitrary placeholder rather than an estimate of how actively a real participant would trade. Every CAD or EUR figure reported below — cash flow, turnover, profit — is exactly proportional to this choice and would rescale linearly with it; only the fraction of days spent buying

versus selling, and the dates of the largest signals, do not depend on it. Because the estimate sits slightly above the eventual realized average, the exchange rate is below it more often than not: the participant's robot is a net buyer of EUR on 65.8% of trading days and a net seller on the remaining 34.2%, with the single largest buy signal on 2022-08-25 (rate at 1.289, the window's low) and the single largest sell signal on 2025-10-17 (rate at 1.640, the window's high). The CAD balance (Fig. 4, second panel, blue) declines from 1000 to about 987, dipping as low as about 954 in February 2025, while the EUR balance (orange) rises from 1000 to about 1013, essentially never dipping below its starting point — consistent with a robot that is, on net, mildly accumulating the currency it believes the market slightly underprices.

The last two panels apply Eqs. (7)–(8) to this participant, with CAD in the role of α and EUR in the role of β , taking t_0 as the start of the validation window:

$$\begin{aligned} P^{\text{CAD}}(t) &= (n^{\text{CAD}}(t) - n^{\text{CAD}}(t_0)) + (n^{\text{EUR}}(t) - n^{\text{EUR}}(t_0)) [\text{CAD/EUR}]_{\Omega}(t), \\ P^{\text{EUR}}(t) &= (n^{\text{EUR}}(t) - n^{\text{EUR}}(t_0)) + (n^{\text{CAD}}(t) - n^{\text{CAD}}(t_0)) [\text{EUR/CAD}]_{\Omega}(t). \end{aligned}$$

By Eq. (9), $P^{\text{CAD}}(t) = P^{\text{EUR}}(t) [\text{CAD/EUR}]_{\Omega}(t)$ exactly: the two panels are not independent findings, only the same profit quoted twice, so they must and do agree in sign throughout — there is no day on which this participant is ahead in one currency and behind in the other. What they do *not* agree on is magnitude: priced in CAD (third panel), the participant ends about 7 CAD richer than at the start of the validation window, after a drawdown to about -1 CAD on 2022-08-25 and a peak of about 8 CAD on 2025-10-17. Priced in EUR (fourth panel), the very same holdings and the very same trades end about 5 EUR richer, with the same shape traced at a different scale, since 1 CAD then buys correspondingly less EUR than 1 EUR buys CAD. The lesson is not that the sign of profit is ambiguous, but that its *size* is: “how much richer is this participant” is only a well-posed question once a currency is chosen to measure it in, and the \$tôkEx itself never makes that choice — every principle in Sec. 3.2 is stated in terms of exchange velocities and ratios, never in terms of a profit computed in one privileged asset.

3.1.4 Time it takes to empty a participant's account

With the participant's exchange velocities, we can predict when their account balance is going to reach zero. The account that will eventually be empty is the account holding the asset that the participant is selling (i.e. the account holding the asset for which $\dot{X}_i < 0$); a participant who is not selling ($\dot{X}_i \geq 0$) never empties an account, $\Delta t_i = +\infty$. As long as the state of the market is constant, the balance decreases linearly and reaches zero after

$$\Delta t_i = -\frac{n_i}{\dot{X}_i}. \quad (10)$$

3.2 The market

As stated in principle number 1, the market price is the relative asset value that leads to an equilibrium between supply and demand. Formally, this means that the market price must satisfy

$$\sum_i \dot{X}_i^{\alpha} = \sum_i \dot{X}_i^{\beta} = 0. \quad (11)$$

Indeed, at any given time and for both assets, the total amount being sold by some participants must be bought by some others: the \$tôkEx creates and destroys nothing, it only transfers.

Since the behavior of each participant is set in a rational way by (5) and entirely defined by their two inputs $[\alpha/\beta]_i$ and θ_i , we find (see proof in Annex 7.5) that the expression for the market price is

$$[\alpha/\beta]_{\Omega} = \left(\frac{\sum_i w_i [\alpha/\beta]_i}{\sum_i w_i [\beta/\alpha]_i^2} \right)^{1/3}. \quad (12)$$

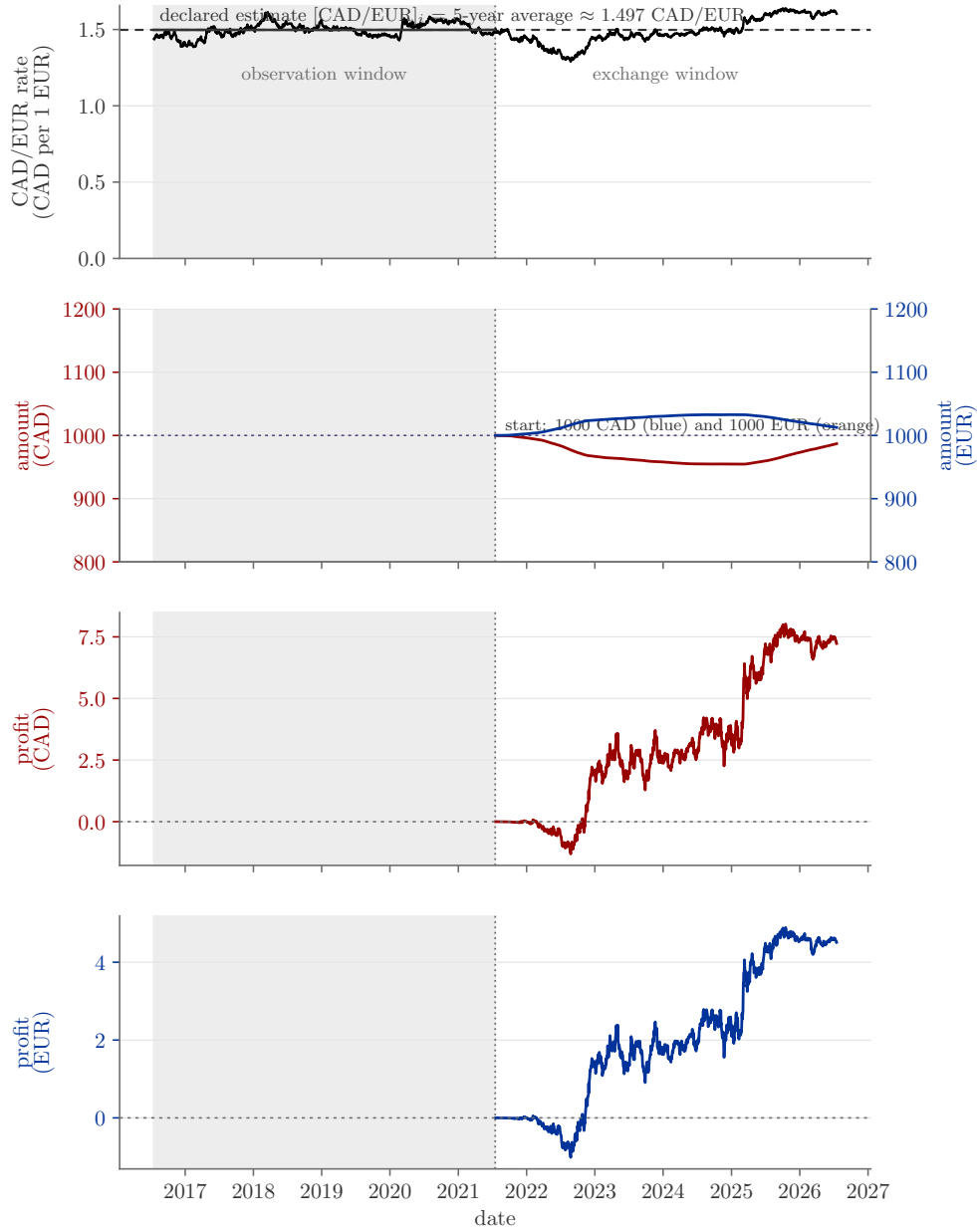


Figure 4: Numerical illustration on real data: the CAD/EUR exchange rate (top, FRED series DEXCAUS [6] and DEXUSEU [7], price axis anchored at zero) over the shaded calculation window, 2016-07-18 to 2021-07-16, used only to compute a plain average (solid, horizontal: no trend fit is warranted here) that becomes the declared estimate throughout the unshaded validation window, 2021-07-19 to 2026-07-17, ≈ 1.497 CAD per EUR (dashed line). Second: a participant starting with 1000 CAD (blue, left axis) and 1000 EUR (orange, right axis), each in its own native currency. Third and fourth: the same participant's profit since the start of the validation window (Eqs. (7)–(8)), accounted in CAD (P^{CAD} , blue) and independently in EUR (P^{EUR} , orange) — the same quantity, related exactly by Eq. (9), not two independent findings.

In this expression, the sum over the participants only includes those who are actually able to trade (i.e. they have the asset they wish to sell).

Let us note that this equilibrium price is *unique*: by principle 7, each participant's exchange velocity is strictly increasing in the market price, hence so is the net exchange velocity $\sum_i \dot{X}_i^\alpha$, so it can vanish at only one strictly positive price, the one given by (12). The precise conditions and the proof are given in Annex 7.6.

4 Implementation of the \$t\hat{o}kEx Algorithm

The equations of the \$t\hat{o}kEx that were developed in the previous section are valid as long as both inputs from all participants remain constant and as long as each participant has a positive balance in the account holding the asset they are selling. Of course, at some point in time, these conditions are bound to change. Therefore, the \$t\hat{o}kEx operates in steps during which the state of the market remains constant (i.e. constant market price and constant exchange velocities).

In general, we know the balance of every account at t_0 and we want to know their balance at t_1 , when a participant requests an action. The actions available to the participant are:

1. check the market price,
2. check their account balance,
3. deposit/withdraw an amount,
4. change their estimate or degree of confidence.

Between t_0 and t_1 , both inputs from all participants are constant. However, we must automatically handle the cases when one of the participants runs out of the asset they are selling between t_0 and t_1 . Each time this happens, the state of the market must be updated.

Thus, the \$t\hat{o}kEx is implemented in two parts. First we describe the inner algorithm responsible for outputting the current state of the market. Second we describe the outer algorithm that performs the time stepping to get from t_0 to t_1 . This process is illustrated in Fig. 5.

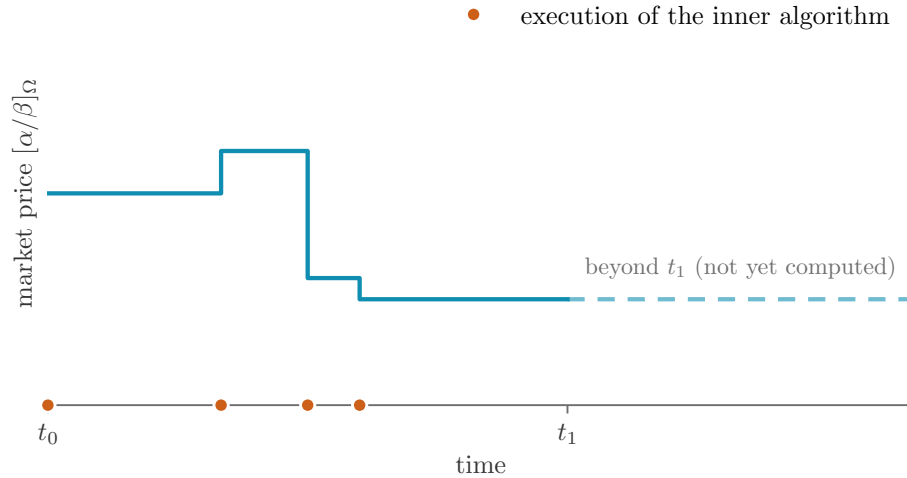


Figure 5: Process by which the state of the \$t\hat{o}kEx is updated between t_0 and t_1 .

4.1 Inner \$tôkEx Algorithm

The purpose of the inner algorithm is to return the market price and participants' exchange velocities at the current time t . The inner algorithm takes into account that some participants might have run out of the asset they wish to sell. These participants must therefore be excluded from the market since their estimate is irrelevant. By excluded from the market, we mean that both their exchange velocities are zero and that their input parameters are not taken into account for the computation of the market price.

When a participant runs out of the asset they are selling, they are automatically excluded from the market. On the other hand, when the excluded participants are in a situation where they can participate again, they are also automatically reintegrated in the market.

4.1.1 Inputs

Each participant in the market must provide the following information:

- $[\alpha/\beta]_i$ participant i 's estimate of the value of 1 unit of β priced in α
- θ_i participant i 's degree of confidence ($[0, 100]$ %) in their estimate of the relative value of the two assets.

In addition, we must provide to the algorithm the balance for both accounts of every participant at the current time t :

- n_i^α participant i 's balance of asset A (in α)
- n_i^β participant i 's balance of asset B (in β)

4.1.2 Outputs

From the above inputs, the algorithm calculates and returns the following information:

- $[\alpha/\beta]_\Omega$ The market value of 1 unit of β priced in α
- $\dot{X}_i^\alpha$ participant i 's exchange velocity of asset A (in α per unit of time)
- $\dot{X}_i^\beta$ participant i 's exchange velocity of asset B (in β per unit of time)
- Δt_i the amount of time after which participant i runs out of the asset they are selling

4.1.3 Plain description of the inner \$tôkEx algorithm

- Exclude every participant that has at least one empty account from the market and add them to a checklist. (lines 3-10)
- Compute the market price using (12). (line 11)
- For each participant that has been excluded, check if they have a positive balance in the account holding the asset they wish to sell. If so, reintegrate them in the market and compute the new market price using (12). Once a participant has been checked, remove them from the checklist. Repeat this process until no participant is left on the checklist. Since reintegrating a participant in the market changes the market price, we have to be careful with the order in which we cross off the participants from the checklist. To ensure that this process is done properly, it can be shown that we must always check the participant whose value estimate is the “furthest” away from the market price, our metric for the distance being $|f_i^\alpha|$, computed using (3). To find that participant efficiently, the checklist is first *sorted* by estimate. For any given price, since f is monotone in the estimate, the largest $|f_i^\alpha|$ is always attained at one of the two ends of the sorted checklist, so each step examines two participants only. Each reintegration then updates the market price in $O(1)$: the participant's terms are added to the two market sums of (12) and the price is recomputed from them (the same incremental bookkeeping as the market update of Sec. 5.4). (lines 12-21)

- For each participant, compute their exchange velocities, using (5), and the time it will take to empty the account for the asset they are selling, using (10). (lines 22-36)

4.1.4 Pseudocode for the inner \$t\acute{o}kEx\$ algorithm

```

1: given the account balance  $n_i^\alpha$  and  $n_i^\beta$  for every participant
2: given the inputs  $[\alpha/\beta]_i$  and  $\theta_i$  for every participant
3: for all participants do
4:   if  $n_i^\alpha = 0$  or  $n_i^\beta = 0$  then
5:     exclude participant  $i$  from the market
6:     add participant  $i$  to checklist
7:   else
8:     include participant  $i$  in the market
9:   end if
10: end for
11: compute  $[\alpha/\beta]_\Omega$ 
12: sort the checklist by increasing estimate  $[\alpha/\beta]_i$ 
13: while checklist is not empty do
14:   compute  $f^\alpha$  at both ends of the checklist
15:    $i^* \leftarrow$  the end with the largest  $|f^\alpha|$ 
16:   if  $(f_{i^*}^\alpha \geq 0 \text{ and } n_{i^*}^\beta > 0)$  or  $(f_{i^*}^\alpha \leq 0 \text{ and } n_{i^*}^\alpha > 0)$  then
17:     include participant  $i^*$  in the market
18:     update  $[\alpha/\beta]_\Omega$  incrementally
19:   end if
20:   remove participant  $i^*$  from checklist
21: end while
22: for all participants do
23:   if participant  $i$  is included in the market then
24:     compute  $\dot{X}_i^\alpha$  and  $\dot{X}_i^\beta$ 
25:   else
26:      $\dot{X}_i^\alpha \leftarrow 0$  and  $\dot{X}_i^\beta \leftarrow 0$ 
27:   end if
28:   if  $\dot{X}_i^\alpha < 0$  then
29:      $\Delta t_i \leftarrow -n_i^\alpha / \dot{X}_i^\alpha$ 
30:   else if  $\dot{X}_i^\beta < 0$  then
31:      $\Delta t_i \leftarrow -n_i^\beta / \dot{X}_i^\beta$ 
32:   else
33:      $\Delta t_i \leftarrow +\infty$ 
34:   end if
35: end for
36: return  $[\alpha/\beta]_\Omega$ ,  $\dot{X}_i^\alpha$ ,  $\dot{X}_i^\beta$  and  $\Delta t_i$ 

```

Complexity. The exclusion pass, the from-scratch market price and the final velocity computation are all $O(N)$; the checklist sort is $O(N \log N)$; each reintegration step costs $O(1)$ thanks to the incremental update of the two market sums. The inner \$t\acute{o}kEx\$ algorithm therefore runs in $O(N \log N)$ overall.

4.2 Outer \$t\hat{o}kEx\$ Algorithm

The outer algorithm performs the necessary time steps to get from t_0 to t_1 . If a participant runs out of the asset they are selling during that time interval, the outer algorithm steps up to that instant to update the state of the market. This process repeats until t_1 is reached.

4.2.1 Inputs

t_0 Initial time
 t_1 Final time

Each participant in the market must provide the following information:

$[\alpha/\beta]_i$ participant i 's estimate of the value of 1 unit of β priced in α
 θ_i participant i 's degree of confidence ($[0, 100]$ %) in their estimate of the relative value of the two assets.

In addition, we must provide to the algorithm the balance for both accounts of every participant at the initial time t_0 :

n_i^α participant i 's balance of asset A (in α)
 n_i^β participant i 's balance of asset B (in β)

4.2.2 Outputs

From the above inputs, the algorithm calculates and returns the market price and the balance for both accounts of every participant at t_1 :

$[\alpha/\beta]_\Omega$ The market value of 1 unit of β priced in α
 n_i^α participant i 's balance of asset A (in α)
 n_i^β participant i 's balance of asset B (in β)

4.2.3 Pseudocode for the outer \$t\hat{o}kEx\$ algorithm

```

1: given an initial time  $t_0$ 
2: given a final time  $t_1$ 
3: given the account balances  $n_i^\alpha$  and  $n_i^\beta$  for every participant (at  $t_0$ )
4: given the inputs  $[\alpha/\beta]_i$  and  $\theta_i$  for every participant (constant between  $t_0$  and  $t_1$ )
5:  $t \leftarrow t_0$ 
6: execute inner $t\hat{o}kEx$ algorithm
7:  $\Delta t \leftarrow \min_i \Delta t_i$ 
8: while  $t_1 - t \geq \Delta t$  do
9:   for all participants do
10:     $n_i^\alpha \leftarrow n_i^\alpha + \dot{X}_i^\alpha \Delta t$ 
11:     $n_i^\beta \leftarrow n_i^\beta + \dot{X}_i^\beta \Delta t$ 
12:   end for
13:    $t \leftarrow t + \Delta t$ 
14:   execute inner $t\hat{o}kEx$ algorithm
15:    $\Delta t \leftarrow \min_i \Delta t_i$ 
16: end while
17:  $\Delta t \leftarrow t_1 - t$ 
18: for all participants do
19:    $n_i^\alpha \leftarrow n_i^\alpha + \dot{X}_i^\alpha \Delta t$ 
20:    $n_i^\beta \leftarrow n_i^\beta + \dot{X}_i^\beta \Delta t$ 
21: end for
22: return  $n_i^\alpha$ ,  $n_i^\beta$  and  $[\alpha/\beta]_\Omega$  (at  $t_1$ )

```

4.3 Numerical evaluation of the trader function

The typical operating point of the \$t\hat{o}kEx is $x \approx 1$: participants' estimates hover around the market price. Precisely there, the defining expression $f(x) = x^2 - 1/x$ suffers *catastrophic cancellation* in floating-point arithmetic: both terms are close to 1, and their subtraction erases up to half of the significand. Measured against exact rational arithmetic (IEEE-754 double precision), the relative error of the standard form reaches 4×10^{-2} at $x = 1 - 10^{-15}$.

The remedy is the *shifted form*. Let $y = x - 1$; for $x \in [1/2, 2]$ this subtraction is exact in floating point (Sterbenz's lemma), and $x^3 - 1 = y^3 + 3y^2 + 3y$, so that

$$f(x) = \frac{y(y^2 + 3y + 3)}{x}, \quad y = x - 1. \quad (13)$$

The numerator tracks the small deviation y directly, without cancellation, and the denominator must be the *input* x itself: recomputing it as $y + 1$ reintroduces a relative error that grows toward the ends of the domain, up to $\sim 10^{-5}$ at $x = 10^{-12}$. The expression is branchless and constant-time (a straight line of fused multiply-adds, no conditional jumps), and its measured relative error stays below 6×10^{-16} (machine precision) over the whole admissible domain of the ratio, $[10^{-12}, 10^{12}]$. This domain is wider than the price bounds of the reference implementation: estimates are bounded to $[10^{-6}, 10^6]$ and the market price always lies between the smallest and the largest estimate (see the corollary in Annex 7.6), so the *ratio* of the two spans up to twelve decades on each side of 1.

4.4 Reference implementation in the t\hat{o}k system

In the t\hat{o}k system, the \$t\hat{o}kEx is instantiated with α = the t\hat{o}k (a universal-income-based currency with continuous exponential disintegration) and β = a foreign currency (CAD, EUR, ...), with one market per foreign currency. The reference implementation uses the following parameters: the reference exchange velocity $\bar{R}$ is set to the universal income rate of the t\hat{o}k system (1 t\hat{o}k per 15 days); estimates are bounded to $10^{-6} \leq [\alpha/\beta]_i \leq 10^6$; degrees of confidence are discretized with a step of $10^{-4}\%$ and capped at 99.9999%; the default market price of an empty market is 1.

Each participant holds a dedicated pair of market accounts (one per asset) with the same owner, and solvency is handled by per-asset tolerance thresholds. Market sums are computed with compensated (Kahan [1]) summation in extended precision, updates are incremental, in $O(N \log N)$ overall (the solvency checklist is processed in sorted order of the estimates, the participant farthest from the market price always lying at one of its two ends), and the trader function is evaluated in the shifted form (13) of Sec. 4.3.

The t\hat{o}k is also the one relaxation of the regular-asset assumption: it carries a continuous disintegration at rate k , acting on the balances independently of the exchange velocities (consistently with principle 1: the \$t\hat{o}kEx itself only transfers). Between two events, t\hat{o}k balances obey $dn_i/dt = \dot{X}_i - k n_i$; the balance updates of the outer algorithm use the closed-form exponential solution, and the emptying time of a t\hat{o}k account becomes $\frac{1}{k} \ln(1 - k n_i / \dot{X}_i)$, a strictly increasing function of (10).

Since k is the same for every t\hat{o}k account (a single disintegration rate applies to the whole t\hat{o}k asset), this transform is monotonic within that homogeneous group, and (10) can therefore be minimized before it is applied: the implementation tracks the linear (10) for every account, takes the minimum *separately* among the t\hat{o}k-selling accounts and among the accounts selling the foreign currency (which carries no disintegration and needs no transform), applies the logarithm once, to the former minimum only, in the numerically stable log1p form, and compares the two resulting candidates. The event-driven structure of the two algorithms is unchanged and the stepping remains exact.

5 Market analysis

In this section we build some additional mathematical tools that may provide helpful insights into a market that uses the \$t\acute{o}kEx algorithm. Chief among these is the fact that, from the point of view of any outside participant, the whole market behaves exactly like a single participant. This gives an intuitive picture of the market and underlies several of the tools developed below. Among other things, these tools can help a participant choose a good estimate and degree of confidence from a single, well-informed look at the market, rather than continuous monitoring — directly serving the *accessibility* goal set out earlier.

5.1 Market behavior

We define the market behavior as the sum of the behavior of all its participants, evaluated at a common probe price in place of the market price. By (5), applied to every participant at the probe price $[\alpha/\beta]_z$ (and its reciprocal $[\beta/\alpha]_z = [\alpha/\beta]_z^{-1}$) instead of $[\alpha/\beta]_\Omega$ (and $[\beta/\alpha]_\Omega$), this gives

$$\begin{aligned}\dot{X}_\Omega^\alpha &= \sum_i w_i \left(\left(\frac{[\alpha/\beta]_z}{[\alpha/\beta]_i} \right)^2 - \frac{[\alpha/\beta]_i}{[\alpha/\beta]_z} \right) \dot{R}, \\ \dot{X}_\Omega^\beta &= \sum_i w_i \left(\left(\frac{[\beta/\alpha]_z}{[\beta/\alpha]_i} \right)^2 - \frac{[\beta/\alpha]_i}{[\beta/\alpha]_z} \right) \dot{R} [\beta/\alpha]_i,\end{aligned}\tag{14}$$

where $[\alpha/\beta]_z$ is a *probe price*: an arbitrary strictly positive price, distinct in general from the market price $[\alpha/\beta]_\Omega$, at which we choose to evaluate the aggregate response of the market. If $[\alpha/\beta]_z = [\alpha/\beta]_\Omega$ then the market is in equilibrium (by definition of $[\alpha/\beta]_\Omega$) and $\dot{X}_\Omega^\alpha = \dot{X}_\Omega^\beta = 0$. However, if a random new participant was added to the market, we know that the market price would change. The market behavior allows us to know how the “old” market will react, or in other words at what velocity it will exchange with the new participant. Indeed, given the new participant’s inputs, we can calculate the new market price using (12), which gives us $[\alpha/\beta]_z$ that allows us to calculate the market behavior we just defined.

5.2 Total market weight

Claim. The whole market can be thought of as a single participant: from the point of view of a new participant entering the market, it is not possible to distinguish if the exchange is taking place with a diverse collection of participants with various estimates ($[\alpha/\beta]_i, \theta_i$) or a single participant with an aggregate estimate $[\alpha/\beta]_\Omega$ (the market price itself) and an aggregate degree of confidence Θ_Ω , defined below.

We prove this claim in Annex 7.7, by showing that there exists a total market weight W_Ω such that the market behavior defined in (14) can be written in the same closed form as a single participant’s exchange velocities (5), with $i \rightarrow \Omega$:

$$\begin{aligned}\dot{X}_\Omega^\alpha &= W_\Omega \left(\left(\frac{[\alpha/\beta]_z}{[\alpha/\beta]_\Omega} \right)^2 - \frac{[\alpha/\beta]_\Omega}{[\alpha/\beta]_z} \right) \dot{R}, \\ \dot{X}_\Omega^\beta &= W_\Omega \left(\left(\frac{[\beta/\alpha]_z}{[\beta/\alpha]_\Omega} \right)^2 - \frac{[\beta/\alpha]_\Omega}{[\beta/\alpha]_z} \right) \dot{R} [\beta/\alpha]_\Omega,\end{aligned}\tag{15}$$

where the total market weight is given by

$$W_\Omega = [\beta/\alpha]_\Omega \sum_i w_i [\alpha/\beta]_i.\tag{16}$$

Using the expression (12) for the market price, we can also write the total market weight in a second form that may be useful in certain situations

$$W_\Omega = [\alpha/\beta]_\Omega^2 \sum_i w_i [\beta/\alpha]_i^2.\tag{17}$$

Consequently, we can define the total market degree of confidence (using the inverse of the weighting factor function (4)) as

$$\Theta_{\Omega} = \frac{200\%}{\pi} \arctan(3 W_{\Omega}) . \quad (18)$$

An important takeaway from this analysis is that the total market weight W_{Ω} can serve as a useful index that indicates the “stiffness” of the market. A market with a large W_{Ω} will resist more strongly to a change in market price $[\alpha/\beta]_{\Omega}$. Moreover, we can see from (16) that the market weight increases with each new participant to the market (unless, of course, the old participants decide to change their estimate). This suggests that a market with a large number of participants using the \$tôkEx algorithm would have a relatively stable market price.

5.3 Average participant estimate

From the total market weight, we can simply derive the average participant weight as

$$w_{\Omega} = \frac{W_{\Omega}}{N_{\Omega}} , \quad (19)$$

where N_{Ω} is the number of participants included in the market, and the average participant degree of confidence as

$$\theta_{\Omega} = \frac{200\%}{\pi} \arctan(3 w_{\Omega}) . \quad (20)$$

This result, combined with the fact that we can aggregate a group of participants and treat it as a single participant using (15), can be very useful if we want to compare the average behavior of different sub groups of participants (assuming that we have extra data about them). For instance, in the case of an international market we would be able to tell how the average participant of a certain country perceives the value of an asset compared to the average participant of another country.

5.4 Market update

Let's say we have a market Ω with a certain participant j whose initial estimate is $([\alpha/\beta]_{j_1}, \theta_{j_1})$. Given that estimate, and that of the other participants, we can evaluate the initial market price $[\alpha/\beta]_{\Omega_1}$ using (12) and the initial total market weight W_{Ω_1} using (16).

If participant j changes their estimate to $([\alpha/\beta]_{j_2}, \theta_{j_2})$, then the new market price will be

$$[\alpha/\beta]_{\Omega_2} = \left(\frac{W_{\Omega_1} [\alpha/\beta]_{\Omega_1} - w_{j_1} [\alpha/\beta]_{j_1} + w_{j_2} [\alpha/\beta]_{j_2}}{W_{\Omega_1} [\beta/\alpha]_{\Omega_1}^2 - w_{j_1} [\beta/\alpha]_{j_1}^2 + w_{j_2} [\beta/\alpha]_{j_2}^2} \right)^{1/3} , \quad (21)$$

and the new total market weight will be

$$W_{\Omega_2} = [\beta/\alpha]_{\Omega_2} \left(W_{\Omega_1} [\alpha/\beta]_{\Omega_1} - w_{j_1} [\alpha/\beta]_{j_1} + w_{j_2} [\alpha/\beta]_{j_2} \right) . \quad (22)$$

5.5 Analogous variance of the participants' estimate

By rewriting (16) as

$$[\alpha/\beta]_{\Omega} = \sum_i \frac{w_i}{W_{\Omega}} [\alpha/\beta]_i , \quad (23)$$

we get an expression that makes the market value appear as a weighted average in a statistical sense.

Following this analogy, we derive in Annex 7.8 a quantity that we call the analogous variance of the participants' estimate, which we define as

$$\sigma_{[\alpha/\beta]}^2 = \frac{1}{W_\Omega} \sum_i w_i [\alpha/\beta]_i^2 - [\alpha/\beta]_\Omega^2 . \quad (24)$$

By taking the square root, we get the analogous standard deviation of the participants' estimate

$$\sigma_{[\alpha/\beta]} = \sqrt{\frac{1}{W_\Omega} \sum_i w_i [\alpha/\beta]_i^2 - [\alpha/\beta]_\Omega^2} . \quad (25)$$

In order to derive this result, we had to imply that, in some sense, w_i/W_Ω corresponds to the probability that a participant estimates the price of $[\alpha/\beta]$ at $[\alpha/\beta]_i$ in a context where each participant has the same weight. Since this is not actually the case in the context of the \$tôkEx, we must be careful with the use of the analogous variance and the analogous standard deviation. Nonetheless, these quantities can offer a useful insight into the distribution of the participants' estimates, while giving more weight to the most important participants.

6 Conclusion

Starting from two sets of assumptions — four *fair-market* principles (conservation, a single strictly positive price common to all, and no bias between participants or between the two assets) and four *rational-trader* principles (buy low, sell high, and trade the more urgently the wider the gap and the firmer the conviction) — we were led to a mathematical framework for the continuous exchange of two fungible assets. The principles act as hypotheses that fix the shape of everything that follows: a trader function (here $f(x) = x^2 - 1/x$), a symmetric pair of exchange velocities, and a market price in closed form (Eq. (12)), unique and clearing both assets at every instant.

The framework has properties worth stating plainly.

It is *fair*: unbiased between participants, and between the two assets.

It is *transparent*: one price, common to all, computed in closed form from the declared inputs, with no privileged order flow.

It is *accessible*, in two ways. It is free of fees: the exchange conserves the assets exactly and only transfers them between participants, with no intermediary skimming a share. And it is free of the need for constant monitoring: instead of asking how much to buy or sell at each instant, it asks what a participant thinks the two assets are worth relative to each other and how sure they are, a judgment they can set once and leave in place while the mechanism trades on it continuously.

Finally, the whole market is provably indistinguishable from a single aggregate participant (Annex 7.7), and its state advances exactly, event by event, in $O(N \log N)$. The central results are machine-checked in Lean 4 / mathlib; the \$tôkEx, together with the whole admissible family of trader functions (Annex 7.1), is disclosed here as prior art.

7 Annexes: Mathematical Proofs

[À COMPLÉTER au push — ne pas soumettre tel quel] Les résultats centraux de ces annexes (pente $f'(1) = 3$, échange au prix de marché, équilibre du marché, agrégation en un participant unique, unicité du prix) sont formalisés et vérifiés par machine en Lean 4 / mathlib (Lean et mathlib v4.32.0). Insérer ici l'URL figée au tag `stokex-defpub-2026-07` : <https://github.com/MaximeTousignant/miluRepo/tree/stokex-defpub-2026-07/docs/stokex/proof>

7.1 The family of admissible trader functions

The \$tôkEx defines its trader function as $f(x) = x^2 - 1/x$. This annex makes precise which part of that choice is forced by the principles and which part is a design decision, and it discloses the whole family of admissible alternatives.

What the principles force. Let f be any candidate trader function, used symmetrically by both assets as in (1), and write $x = [\alpha/\beta]_\Omega / [\alpha/\beta]_i$. The two exchange velocities of participant i are then $\dot{X}_i^\alpha = w_i f(x) \dot{R}$ and $\dot{X}_i^\beta = w_i f(1/x) \dot{R} [\beta/\alpha]_i$. Principle 2 requires $-\dot{X}_i^\alpha / \dot{X}_i^\beta = [\alpha/\beta]_\Omega = x [\alpha/\beta]_i$ for every market state, which simplifies to the functional equation

$$f(1/x) = -\frac{f(x)}{x} \quad \text{for all } x > 0. \quad (26)$$

At $x = 1$, (26) gives $f(1) = -f(1)$, hence $f(1) = 0$: not trading at one's own estimate is not an extra hypothesis, it is a consequence of exchanging two symmetric assets at a single market price. The equation also determines f on $(0, 1)$ from its values on $(1, \infty)$: the selling behavior is the reflection of the buying behavior. Concretely, in absolute value, a participant facing a market at twice their estimate behaves exactly as one facing half of it, with the roles of the two assets exchanged (each velocity counted in the reference unit of its own asset); this mirror symmetry is shared by every admissible trader function, and is the one visible in Fig. 2.

The closed-form family. Consider the power pairs

$$f_p(x) = x^p - x^q, \quad q = 1 - p, \quad p \geq 1. \quad (27)$$

Every member satisfies (26), since $q - 1 = -p$ and $p - 1 = -q$. For $p \geq 1$ the member is strictly increasing on $(0, \infty)$, with $f'_p(x) = p x^{p-1} + (p-1) x^{-p} > 0$, and therefore satisfies principles 5 to 8 (for $1/2 < p < 1$ monotonicity fails near 0, and $p = 1/2$ gives the zero function). Replacing f by f_p in (1) and solving the equilibrium condition (11) yields the market price in closed form,

$$[\alpha/\beta]_\Omega = \left(\frac{\sum_i w_i [\alpha/\beta]_i^{p-1}}{\sum_i w_i [\beta/\alpha]_i^p} \right)^{1/(2p-1)}, \quad (28)$$

and the slope at the equilibrium point is $f'_p(1) = 2p - 1$, so that the degree-of-confidence map of the member reads $w = \frac{1}{2p-1} \tan(\pi \theta / 200 \%)$. All the results of this document (uniqueness of the price, aggregation of the market into a single participant, the two algorithms) carry over member by member. More generally, any combination $\sum_p c_p f_p$ with nonnegative coefficients satisfies (26) and the principles, though the closed form (28) is then lost.

What singles out $p = 2$. The first member, $f_1(x) = x - 1$, has a bounded selling side: $f_1(x) > -1$ for all $x > 0$, so a participant's urgency would saturate at $w_i \dot{R}$ no matter how far the market price drops below their estimate. For every $p > 1$, both sides are unbounded: $f_p \rightarrow +\infty$ as $x \rightarrow \infty$ and $f_p \rightarrow -\infty$ as $x \rightarrow 0^+$. A second consideration is computational, and it stems from the same fee-free accessibility goal: a market that charges no fees must keep the evaluation of its trader function as cheap as possible, which favors integer

exponents (Laurent polynomials) — needing only multiplications and a single reciprocal — over fractional powers, whose transcendental $\exp/\log$ evaluation costs far more at every step. Among the members with integer exponents, the smallest one with unbounded urgency on both sides is therefore $p = 2$:

$$f_2(x) = x^2 - \frac{1}{x},$$

the trader function (2) of the \$t\sigma kEx, whose slope $2p - 1 = 3$ is the factor of (4).

Disclosure. The whole family (27), together with the corresponding market price (28) and degree-of-confidence map, is part of the present disclosure: an exchange mechanism obtained by substituting any member f_p (or any nonnegative combination of members) for the trader function of the \$t\sigma kEx is anticipated by this document.

7.2 The family of admissible weight functions

The \$t\sigma kEx maps a participant's degree of confidence onto their weight through the tangent function (4). This annex makes precise which part of that choice is forced by the principles and which part is a design decision.

What the principles force. Principle 8 requires only that $w : [0, 100\%) \rightarrow [0, +\infty)$ be strictly increasing, with $w(0) = 0$ (no conviction, no trade). Nothing else about w enters principles 1–8: every other principle, and every result derived from them — the market price (12) (or its p -indexed form (28)), its uniqueness (Annex 7.6), the aggregation of the whole market into a single participant (Annex 7.7), and the two $O(N \log N)$ algorithms — is derived from the participants' weights w_i alone, and never from the functional form that produced w_i from θ_i .

What singles out the tangent map. The particular choice (4) is what makes θ_i coincide with a geometrical angle, the equilibrium slope of the participant's own response curve (Annex 7.3); this interpretation, and the discretization used in the reference implementation (Sec. 4.4), are properties of that particular member, not requirements of the algorithm.

Disclosure. The whole family of strictly increasing functions w with $w(0) = 0$, substituted for (4) in an otherwise unchanged \$t\sigma kEx, is part of the present disclosure: an exchange mechanism that scales participants' exchange velocities by any such weight — however that weight is computed from a declared degree of confidence or equivalent conviction signal — is anticipated by this document.

7.3 Proof that the participant's degree of confidence corresponds to a geometrical angle

In Fig. 6 we plot a participant's exchange velocity for asset A on a 2-D graph with normalized axes, such that

$$x = \frac{[\alpha/\beta]_\Omega}{[\alpha/\beta]_i} \quad \text{and} \quad y = \frac{\dot{X}_i^\alpha}{\dot{R}}.$$

Given our normalized quantities x and y , the expression for the exchange velocity becomes

$$y = w_i \left(x^2 - \frac{1}{x} \right)$$

In Fig. 6, we define θ_i as being the angle between the horizontal axis $y = 0$ and the slope of the exchange at the point where they cross. Geometrically, this corresponds to

$$\tan(\theta_i) = \left. \frac{dy}{dx} \right|_{y=0} = 3 w_i$$

Thus, the relation between θ_i and w_i is

$$w_i = \frac{1}{3} \tan(\theta_i).$$

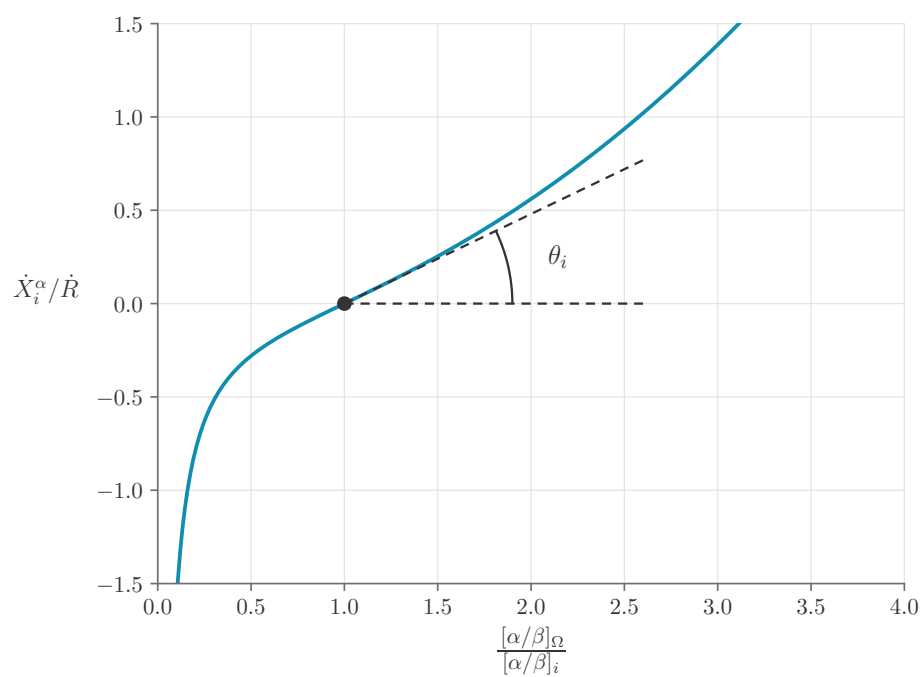


Figure 6: Geometrical interpretation of the participant's degree of confidence θ_i

The same argument holds true if we want to plot a participant's exchange velocity using a logarithmic scale in x (see Fig. 7). In that case, the normalized axes are

$$x = \ln\left(\frac{[\alpha/\beta]_{\Omega}}{[\alpha/\beta]_i}\right) \quad \text{and} \quad y = \frac{\dot{X}_i^{\alpha}}{\dot{R}},$$

and the expression for the exchange velocity becomes

$$y = w_i (\exp(2x) - \exp(-x)) .$$

Again, we find that

$$\tan(\theta_i) = \left. \frac{dy}{dx} \right|_{y=0} = 3w_i ,$$

which leads to the relation between θ_i and w_i that we were looking for

$$w_i = \frac{1}{3} \tan(\theta_i) .$$

Let us note that the last expression assumes that the angle θ_i is in radians and contained between 0 and $\pi/2$. To get the expression (4), we linearly map $[0, \pi/2)$ to $[0, 100)\%$. This leads to

$$w_i = \frac{1}{3} \tan\left(\frac{\pi \theta_i}{200\%}\right) ,$$

in which θ_i is the participant's "degree of confidence" contained between 0% and 100%.

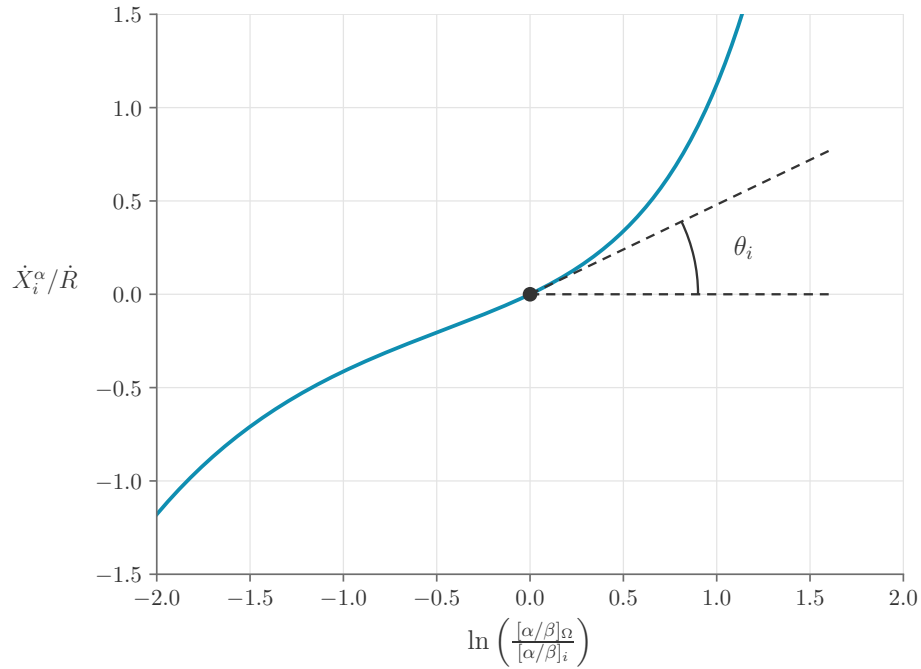


Figure 7: Geometrical interpretation of the participant's degree of confidence θ_i (logarithmic scale in x)

7.4 Proof that the exchange velocities function implies an exchange at market price

We want to show that the expressions for a participant's exchange velocities defined in (5) automatically satisfy the principle (6).

By constructing the right side of (6), using the expressions in (5), we get

$$\begin{aligned}
 -\frac{\dot{X}_i^\alpha}{\dot{X}_i^\beta} &= -\frac{w_i \left(\left(\frac{[\alpha/\beta]_\Omega}{[\alpha/\beta]_i} \right)^2 - \frac{[\alpha/\beta]_i}{[\alpha/\beta]_\Omega} \right) \dot{R}}{w_i \left(\left(\frac{[\beta/\alpha]_\Omega}{[\beta/\alpha]_i} \right)^2 - \frac{[\beta/\alpha]_i}{[\beta/\alpha]_\Omega} \right) \dot{R} [\beta/\alpha]_i} \\
 &= \frac{\frac{[\alpha/\beta]_i}{[\alpha/\beta]_\Omega} - \left(\frac{[\alpha/\beta]_\Omega}{[\alpha/\beta]_i} \right)^2}{\left(\frac{[\beta/\alpha]_\Omega}{[\beta/\alpha]_i} \right)^2 - \frac{[\beta/\alpha]_i}{[\beta/\alpha]_\Omega}} [\alpha/\beta]_i \\
 &= \frac{\frac{[\alpha/\beta]_i^3 - [\alpha/\beta]_\Omega^3}{[\alpha/\beta]_\Omega [\alpha/\beta]_i^2}}{\frac{[\beta/\alpha]_\Omega^3 - [\beta/\alpha]_i^3}{[\beta/\alpha]_i^2 [\beta/\alpha]_\Omega}} [\alpha/\beta]_i \\
 &= \left(\frac{[\alpha/\beta]_i^3 - [\alpha/\beta]_\Omega^3}{[\beta/\alpha]_\Omega^3 - [\beta/\alpha]_i^3} \right) \left(\frac{[\beta/\alpha]_i^2 [\beta/\alpha]_\Omega}{[\alpha/\beta]_\Omega [\alpha/\beta]_i^2} \right) [\alpha/\beta]_i \\
 &= \left(\frac{[\alpha/\beta]_i^3 - [\alpha/\beta]_\Omega^3}{[\beta/\alpha]_\Omega^3 - [\beta/\alpha]_i^3} \right) ([\beta/\alpha]_i^3 [\beta/\alpha]_\Omega^3) [\alpha/\beta]_\Omega \\
 &= \left(\frac{[\beta/\alpha]_\Omega^3 - [\beta/\alpha]_i^3}{[\beta/\alpha]_\Omega^3 - [\beta/\alpha]_i^3} \right) [\alpha/\beta]_\Omega \\
 &= [\alpha/\beta]_\Omega .
 \end{aligned}$$

Q.E.D.

7.5 Proof that the expression for the market price corresponds to the equilibrium between supply and demand

By making the hypothesis that (11) holds for asset A and by applying principle number 2, stating that the market price is the same for every participant at any given time and that the market price is strictly positive, we can derive expression (12) as such:

$$\begin{aligned}
 0 &= \sum_i \dot{X}_i^\alpha \\
 0 &= \sum_i w_i \left(\left(\frac{[\alpha/\beta]_\Omega}{[\alpha/\beta]_i} \right)^2 - \frac{[\alpha/\beta]_i}{[\alpha/\beta]_\Omega} \right) \dot{R} \\
 0 &= \sum_i w_i \left([\beta/\alpha]_i^2 - [\beta/\alpha]_\Omega^3 [\alpha/\beta]_i \right) [\alpha/\beta]_\Omega^2 \dot{R} \\
 0 &= \sum_i w_i [\beta/\alpha]_i^2 - [\beta/\alpha]_\Omega^3 \sum_i w_i [\alpha/\beta]_i \\
 [\alpha/\beta]_\Omega &= \left(\frac{\sum_i w_i [\alpha/\beta]_i}{\sum_i w_i [\beta/\alpha]_i^2} \right)^{1/3} .
 \end{aligned}$$

Q.E.D.

Since we have already proven that

$$\sum_i \dot{X}_i^\alpha = 0 \text{ and that } [\alpha/\beta]_\Omega = -\frac{\dot{X}_i^\alpha}{\dot{X}_i^\beta},$$

we can quickly show that the exchanges of asset B also satisfy (11) in the following manner

$$\begin{aligned} \sum_i \dot{X}_i^\beta &= -[\beta/\alpha]_\Omega \sum_i \dot{X}_i^\alpha \\ \sum_i \dot{X}_i^\beta &= 0. \end{aligned}$$

Q.E.D.

7.6 Proof that the market price is unique

Annex 7.5 is conditional: it shows that *if* an equilibrium price exists, it must be (12). This annex closes the argument by showing that exactly one equilibrium price always exists, so that the market price of principle 1 is well defined and the inner algorithm is deterministic.

Conditions. Every estimate is strictly positive, every weight is nonnegative, and at least one trading participant carries a strictly positive weight:

$$[\alpha/\beta]_i > 0 \text{ for all } i, \quad w_i \geq 0 \text{ for all } i, \quad \exists j : w_j > 0.$$

Claim. Under these conditions, there is exactly one strictly positive price at which the market is in equilibrium, and it is the one given by (12).

Proof. Consider the market behavior $\dot{X}_\Omega^\alpha$ of (14) as a function of the probe price $[\alpha/\beta]_z > 0$:

$$\dot{X}_\Omega^\alpha([\alpha/\beta]_z) = \sum_i w_i \left(\left(\frac{[\alpha/\beta]_z}{[\alpha/\beta]_i} \right)^2 - \frac{[\alpha/\beta]_i}{[\alpha/\beta]_z} \right) \dot{R}.$$

Each term with $w_i > 0$ is strictly increasing in $[\alpha/\beta]_z$, since

$$\frac{d}{d[\alpha/\beta]_z} \left[w_i \left(\left(\frac{[\alpha/\beta]_z}{[\alpha/\beta]_i} \right)^2 - \frac{[\alpha/\beta]_i}{[\alpha/\beta]_z} \right) \right] = w_i \left(\frac{2[\alpha/\beta]_z}{[\alpha/\beta]_i^2} + \frac{[\alpha/\beta]_i}{[\alpha/\beta]_z^2} \right) > 0,$$

and each term with $w_i = 0$ vanishes identically. As at least one weight is strictly positive, $\dot{X}_\Omega^\alpha$ is strictly increasing on $(0, \infty)$. Moreover, $\dot{X}_\Omega^\alpha([\alpha/\beta]_z) \rightarrow -\infty$ as $[\alpha/\beta]_z \rightarrow 0^+$ (the $-[\alpha/\beta]_i / [\alpha/\beta]_z$ terms dominate) and $\dot{X}_\Omega^\alpha([\alpha/\beta]_z) \rightarrow +\infty$ as $[\alpha/\beta]_z \rightarrow \infty$ (the quadratic terms dominate). Since $\dot{X}_\Omega^\alpha$ is continuous and strictly increasing with these limits, it vanishes at exactly one $[\alpha/\beta]_z > 0$. By Annex 7.5, that zero is (12).

Q.E.D.

Corollary. Every term of $\dot{X}_\Omega^\alpha$ is nonpositive at $[\alpha/\beta]_z = \min_i [\alpha/\beta]_i$ (all ratios $[\alpha/\beta]_z / [\alpha/\beta]_i \leq 1$) and nonnegative at $[\alpha/\beta]_z = \max_i [\alpha/\beta]_i$; the equilibrium price therefore always lies between the smallest and the largest estimate of the trading participants.

7.7 Proof that the total market behaves as a single participant

In (14), we defined the market behavior as the sum of the behavior of all its participants

$$\begin{aligned}\dot{X}_\Omega^\alpha &= \sum_i w_i \left(\left(\frac{[\alpha/\beta]_z}{[\alpha/\beta]_i} \right)^2 - \frac{[\alpha/\beta]_i}{[\alpha/\beta]_z} \right) \dot{R}, \\ \dot{X}_\Omega^\beta &= \sum_i w_i \left(\left(\frac{[\beta/\alpha]_z}{[\beta/\alpha]_i} \right)^2 - \frac{[\beta/\alpha]_i}{[\beta/\alpha]_z} \right) \dot{R} [\beta/\alpha]_i.\end{aligned}$$

We want to prove that there exists a total market weight W_Ω such that the market behaves as a single participant, in a way that

$$W_\Omega \left(\left(\frac{[\alpha/\beta]_z}{[\alpha/\beta]_\Omega} \right)^2 - \frac{[\alpha/\beta]_\Omega}{[\alpha/\beta]_z} \right) \dot{R} = \sum_i w_i \left(\left(\frac{[\alpha/\beta]_z}{[\alpha/\beta]_i} \right)^2 - \frac{[\alpha/\beta]_i}{[\alpha/\beta]_z} \right) \dot{R},$$

for any $[\alpha/\beta]_z$. We treat the asset A identity first; the asset B identity then follows as an easy corollary.

Of course, this statement is true in the trivial case when the inputs of each of the N_Ω participants are $[\alpha/\beta]_i = [\alpha/\beta]_\Omega$ and $w_i = W_\Omega/N_\Omega$, but we want to prove that it is in fact true for any participant's inputs.

By looking at the previous expression term by term, we conclude that for it to be true for any $[\alpha/\beta]_z$, we must satisfy both

$$\begin{aligned}W_\Omega [\beta/\alpha]_\Omega^2 &= \sum_i w_i [\beta/\alpha]_i^2 \quad \text{and} \\ W_\Omega [\alpha/\beta]_\Omega &= \sum_i w_i [\alpha/\beta]_i.\end{aligned}$$

We can easily satisfy the second expression by setting

$$W_\Omega = [\beta/\alpha]_\Omega \sum_i w_i [\alpha/\beta]_i.$$

Now, we need to verify that this choice also satisfies the first expression

$$\begin{aligned}W_\Omega [\beta/\alpha]_\Omega^2 &= \sum_i w_i [\beta/\alpha]_i^2 \\ \left([\beta/\alpha]_\Omega \sum_i w_i [\alpha/\beta]_i \right) [\beta/\alpha]_\Omega^2 &= \sum_i w_i [\beta/\alpha]_i^2 \\ [\beta/\alpha]_\Omega^3 \sum_i w_i [\alpha/\beta]_i &= \sum_i w_i [\beta/\alpha]_i^2 \\ [\alpha/\beta]_\Omega &= \left(\frac{\sum_i w_i [\alpha/\beta]_i}{\sum_i w_i [\beta/\alpha]_i^2} \right)^{1/3}.\end{aligned}$$

The last line corresponds to the expression for the market price that we already proved in Annex 7.5.

Q.E.D.

Corollary (asset B). Write $x_i = [\alpha/\beta]_z / [\alpha/\beta]_i$ and $x_\Omega = [\alpha/\beta]_z / [\alpha/\beta]_\Omega$, and recall the trader function $f(x) = x^2 - 1/x$ (2), so that $\dot{X}_\Omega^\alpha = \sum_i w_i f(x_i) \dot{R} = W_\Omega f(x_\Omega) \dot{R}$ is exactly the identity just proved. Since $[\beta/\alpha]_z / [\beta/\alpha]_i = 1/x_i$, the functional equation $f(1/x) = -f(x)/x$ (26) of Annex 7.1 gives $f([\beta/\alpha]_z / [\beta/\alpha]_i) =$

$-f(x_i)/x_i$; moreover $[\beta/\alpha]_i/x_i = [\beta/\alpha]_i [\alpha/\beta]_i / [\alpha/\beta]_z = 1/[\alpha/\beta]_z$ for every i (asset A's estimate and asset B's estimate of the same participant are reciprocal), the aggregate participant Ω included. Hence

$$\begin{aligned}\dot{X}_\Omega^\beta &= \sum_i w_i f([\beta/\alpha]_z / [\beta/\alpha]_i) \dot{R} [\beta/\alpha]_i \\ &= -\dot{R} \sum_i w_i f(x_i) \frac{[\beta/\alpha]_i}{x_i} \\ &= -\frac{\dot{R}}{[\alpha/\beta]_z} \sum_i w_i f(x_i) \\ &= -\frac{\dot{R}}{[\alpha/\beta]_z} W_\Omega f(x_\Omega),\end{aligned}$$

using the asset A identity for the last step. Running the same three simplifications backward, with i replaced by Ω , turns the right-hand side back into $W_\Omega f([\beta/\alpha]_z / [\beta/\alpha]_\Omega) \dot{R} [\beta/\alpha]_\Omega$, which is the asset-B line of (15).

Q.E.D.

7.8 Statistical interpretation of the equation for the total market weight

The equation defining the total market weight can be rearranged as

$$[\alpha/\beta]_\Omega = \sum_i \frac{w_i}{W_\Omega} [\alpha/\beta]_i.$$

Since the market price $[\alpha/\beta]_\Omega$ is in some sense the weighted average of the participants' estimates $[\alpha/\beta]_i$, one can draw a parallel between the previous expression and the expected value of a random variable X , which is by definition

$$E[X] = \sum_i p_i x_i$$

where x_i is a particular outcome of the variable X and p_i is the probability of getting this particular outcome.

In this analogy, we have that:

$$\begin{aligned}X &\rightarrow [\alpha/\beta], \\ E[X] &\rightarrow [\alpha/\beta]_\Omega, \\ p_i &\rightarrow \frac{w_i}{W_\Omega}, \\ x_i &\rightarrow [\alpha/\beta]_i.\end{aligned}$$

Now if $[\alpha/\beta]_\Omega$ is the expected value of the random variable $[\alpha/\beta]$, then we may ask what is its variance. The variance of a random variable can be calculated using

$$\text{Var}(X) = E[X^2] - (E[X])^2.$$

Thus, we find that the quantity analogous to the variance of the participants' estimates is

$$\text{Var}(X) \rightarrow \frac{1}{W_\Omega} \sum_i w_i [\alpha/\beta]_i^2 - [\alpha/\beta]_\Omega^2.$$

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